



EnCap Investments L.P.

Memorandum

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To: EnCap Investment Staff
From: Brad Thielemann, Brooks Despot, Michael Guenther and Mary Cope
Date: August 15, 2023
Re: **Ridge Runner Resources II, LLC – Potential \$146.3 Million Fund XII Commitment**

The purpose of this memorandum is to provide an overview of Ridge Runner Resources II, LLC (“Ridge Runner” or the “Company”), a Houston-based oil and gas company that will pursue the acquisition and development of onshore oil and gas interests throughout the Lower 48. We propose capitalizing the Company with a \$150.0 million common equity commitment, with Fund XII committing \$146.3 million and Management committing \$3.8 million.

Executive Summary

- The Ridge Runner management team (“Management”) is led by Scott Germann (Co-CEO/Chairman), Brian Cassens (Co-CEO), Aaron Gaydosik (CFO), Brad Grandstaff (COO), Randy Ferrell (VP – Production), Jon Slagle (Mgr. – Reservoir Engineering), and Chris Canon (VP of Land). Mr. Germann has over 30 years of industry experience and previously held leadership positions at Chisholm Energy (Warburg Pincus), BC Operating (a JV between Quantum and Post Oak portfolio companies), Nadel & Gussman, and ExxonMobil (NYSE: XOM). Scott was also a co-founder and former CEO of Ridge Runner Resources I (Warburg Pincus), along with Brian Cassens. Mr. Cassens has 20 years of experience in upstream operations, most recently he was brought in as COO of Chisholm Energy. Brian previously served as Partner and Vice President - Business Development at RPM Energy (KKR). Mr. Gaydosik brings over 20 years of corporate finance experience and has previously held finance leadership positions at Chisholm Energy, Gulfport Energy Corporation (NYSE: GPOR), and Kodiak Oil & Gas Corp. Mr. Grandstaff was a co-founder and VP of Operations at Chisholm Energy and has previously held leadership positions at various other companies including Range Resources (NYSE: RRC), Quicksilver Resources, and Encore Acquisition Company. Mr. Ferrell has over 35 years of industry experience and has previously held production management positions at Chisholm Energy, Sheridan Production Company, and Legend Natural Gas, LLC. Mr. Slagle has nearly 10 years of industry experience, and previously held various reservoir engineering roles at Chisholm Energy, Ridge Runner Resources I, and Sable Permian. Mr. Canon previously held leadership positions within land and business development functions at Percussion Petroleum II, Maverick Natural Resources, Concho, and Oxy.
- All the core management members were responsible for the ultimate success at Chisholm Energy, including Scott Germann (as CEO), Brian Cassens (as COO), Aaron Gaydosik (as CFO), Brad Grandstaff (as VP – Operations), Randy Ferrell (as VP – Production), and Jon Slagle (as Sr. Reservoir Engineer). Scott, Brian, Randy, and Jon were brought in during October 2020 as part of a management refresh while Aaron and Brad were existing members of the company. The new management team revitalized the company, creating significant value until Chisholm’s sale to Earthstone Energy in February 2022.
- EnCap has seen Management’s technical and commercial skills first-hand as they assisted in a full review of Ameredev II’s (Fund X) historical operations and go-forward development plans. In addition, EnCap contacted numerous former industry employers, managers, and peers in reference to Management. These conversations were all positive and confirmatory of EnCap’s view of each team members’ outstanding character and integrity.
- Ridge Runner will initially focus its efforts in the Delaware Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational experience as it employs an acquire, exploit, and optimization strategy on undervalued, liquids-rich assets.
- **We believe that Ridge Runner offers a compelling investment opportunity for Fund XII and recommend capitalizing the Company with a \$150.0 million common equity commitment consisting of \$146.3 million from Fund XII and \$3.8 million from Management.**

Management Bios/Track Records

Ridge Runner's management group currently includes Scott Germann (Co-CEO/Chairman), Brian Cassens (Co-CEO), Aaron Gaydosik (CFO), Brad Grandstaff (COO), Randy Ferrell (VP of Production), Jon Slagle (Mgr. – Reservoir Engineering), and Chris Canon (VP of Land). It is our belief that each of these senior management members will play an integral role in the Company's decision-making process given their unique and complementary skill sets. Mr. Germann, Mr. Cassens, Mr. Gaydosik, Mr. Grandstaff, Mr. Ferrell, Mr. Slagle, and Mr. Canon cover the major key disciplines for Management and nearly all have worked together in the past. See **Exhibit A** for additional information related to management's track record.

Scott Germann: Co-CEO / Chairman

Scott Germann has over 30 years of experience in oil and gas exploration and production, having spent the last 26 years focused specifically on the Delaware Basin in New Mexico. Scott was the co-founder and former CEO of Ridge Runner Resources I ("RRR") which was formed in early 2018 and backed by Warburg Pincus. The RRR Management Team assembled 13,000 Net Acres in Eddy and Lea Counties. Prior to forming RRR, Scott was the President of Delaware Basin at BC Operating, until the sale of the company to Marathon Oil in May 2017 for total cash consideration of \$1.1 billion. BC Operating was a joint venture between Crump Energy Partners II (a Quantum Energy Partners funded portfolio company), Crown Oil Partners V (a Post Oak Energy funded portfolio company), and Nadel & Gussman (all three privately-held, multigeneration, family-controlled energy companies), with an ~70,000 net contiguous acreage position across Eddy and Lea counties, New Mexico. Prior to BC Operating, Scott spent 21 years as Executive Vice President and Head of Permian and Delaware Basin at Nadel & Gussman. At Nadel & Gussman, he was Head of the Midland and Denver offices, where he built a team with many of the employees that would end up being the core operations team at BC Operating (N&G grew from no employees to 53 employees under Scott's leadership). He began his career at ExxonMobil as a senior geologist focused on the Delaware Basin and New Mexico, before moving to Exxon's headquarters in Houston to work exploration projects in Chad and Niger, Africa.

Scott formerly served as Director on the Board of Battalion Oil, including as the Chairman of the Compensation Committee and a member of the Audit and Reserves Committee.

Scott has a B.S. in Geology from Eastern Illinois University and a M.S. in Geosciences from the University of Tulsa.

Brian Cassens: Co-CEO

Brian Cassens was co-founder of Ridge Runner Resources I, later serving as its CEO, and has 20 years of experience in upstream operations. Prior to Ridge Runner, Brian was Partner and Vice President - Business Development at RPM Energy, KKR's exclusive engineering and technical consulting firm. At RPM, Brian advised KKR on their \$1.5 billion Energy Income and Growth Fund, totaling more than a dozen investments in minerals, NonOp WI, and structured financial investments. Prior to RPM Energy, Brian was a senior reservoir engineer at NFR Energy (joint venture between First Reserve and Nabors), focused on ETX unconventional assets. Prior to NFR Energy, Brian was a reservoir engineer at XTO Energy focused on unconventional resource plays. Brian started his career at BP, where he gained production and reservoir engineering experience across multiple onshore and offshore plays.

Brian has a B.S. in Petroleum Engineering from Texas A&M and is a member of the Society of Petroleum Engineers.

Aaron Gaydosik: CFO

Aaron Gaydosik brings over 20 years of corporate finance experience, including a decade in investment banking and almost a decade serving as Chief Financial Officer at both public and private upstream companies. He most recently served as CFO at Chisholm Energy, an upstream company backed by Warburg Pincus and Ontario Teachers' Pension Plan, from January 2017 until its sale to Earthstone Energy in February 2022. Prior to joining Chisholm Energy, he served as Chief Financial Officer at Gulfport Energy Corporation, a publicly traded exploration and production company, from August 2014 until January 2017. From July 2013 until August 2014, Mr. Gaydosik served as Vice President of Finance at Kodiak Oil & Gas Corp., an independent energy company with operations focused primarily in the Williston Basin of North Dakota. From May 2007 through July 2013, Mr.

Gaydosik held various positions of increasing levels of responsibility at Credit Suisse Securities (USA), LLC, most recently as a Director in its Oil and Gas Group, focused on capital markets and advisory transactions primarily for exploration and production companies. Mr. Gaydosik's prior experience includes various positions within the investment banking divisions of Wachovia Securities and Bear, Stearns & Co. Inc.

Aaron holds a Bachelor of Business Administration in Finance from Southern Methodist University and a Masters of Business Administration from the University of Chicago Booth School of Business.

Brad Grandstaff: COO

Brad Grandstaff was a co-founder and VP of Operations at Chisholm Energy, an upstream company backed by Warburg Pincus and Ontario Teachers' Pension Plan, until its sale to Earthstone Energy in February 2022. He began his career with Burlington Resources working in the San Juan Basin in New Mexico as a drilling engineer. He later joined Merit Energy where he worked as a regional engineer on properties in the Permian and Fort Worth basins. Mr. Grandstaff then joined Encore Acquisition Company and held various roles as a senior operations engineer working in the Williston, Anadarko, Permian, Fort Worth, and East Texas basins. After Encore, Mr. Grandstaff joined Quicksilver Resources as a drilling engineer to help develop their Barnett assets. In 2008, Mr. Grandstaff joined Range Resources where he held several engineering and management positions and last served as Director of Drilling Operations of the Northern Marcellus, Permian Basin, and Midcontinent Divisions. He is a member of the Society of Petroleum Engineers and the American Association of Drilling Engineers.

Brad holds a B.S. Degree in Petroleum Engineering from the University of Oklahoma.

Randy Ferrell: VP Production

Mr. Ferrell has over 35 years of experience in oil and gas operations, artificial lift, and production optimization. Prior to joining Chisholm Energy, Mr. Ferrell was most recently the Production Manager for Sheridan Production Company and responsible for managing the production operations across the Mid Continent, Gulf Coast, Rocky Mountain, Permian, and East Texas Districts. Previously, he was the Operations Manager and later Vice President of the South Texas Division for Legend Natural Gas, LLC which also included the oversight of the Black River Field in Eddy County, NM. Prior to that he served Vernon E. Faulconer, Inc. for 24 years in many capacities including District Manager and Engineering Manager while focusing on the acquisition, enhancement, and operation of oil and gas assets across Arkansas, Colorado, Kansas, Louisiana, Mississippi, New Mexico, Oklahoma, Texas, and Wyoming.

Randy has a B.S. Degree in Petroleum Engineering from Louisiana Tech University and is a member of the Society of Petroleum Engineers.

Jon Slagle: Manager – Reservoir Engineering

Mr. Slagle brings nearly 10 years of reservoir engineering experience, including eight years working with the core management team at both Chisholm and Ridge Runner Resources I. Most recently, Jon served as a Senior Reservoir Engineer at Chisholm Energy, joining the team with Scott and Brian as part of the management team refresh. Prior to Chisholm, Mr. Slagle was a Senior Reservoir Engineer at Ridge Runner Resources I. Jon began his career as an Engineer at Sable Permian in 2017.

Jon has a B.S. Degree in Petroleum Engineering from Texas A&M University, with a minor in Geology.

Chris Canon: VP Land

Chris Canon has nearly 15 years of land and business development experience, most recently serving as VP of Land for Percussion Petroleum II, LLC, a portfolio company of Carnelian Energy Capital and Old Ironsides Energy. Prior to Percussion Petroleum II, LLC, Mr. Canon served as Director of Business Development at Maverick Natural Resources where he oversaw the company's entry into the Permian Basin. Chris began his career as a Senior Land Negotiator for Oxy in their Delaware Basin and Bakken business groups.

Chris holds a Bachelor of Business Administration in Marketing from Texas A&M University and a J.D. from Texas Tech University School of Law.

Chisholm Energy Turnaround

Chisholm Energy Holdings, LLC (“Chisholm”) was a Northern Delaware (New Mexico) company co-founded by Mark Whitley and a team from Range Resources with a \$500 million equity commitment from Warburg Pincus (later upsized to \$770 million with OTPP added as an investor). The team’s initial strategy was to focus on acquiring and developing acreage in underappreciated areas in Lea and Eddy Counties, NM while leveraging the team’s drilling and completions expertise. By September 2020, the company had amassed ~35,000 net acres and was producing ~10.4 Mboe/d (63% oil).

Disappointing drilling results, cost overruns, and a bloated corporate structure led Warburg Pincus to seek a management refresh in October 2020. Scott Germann and Brian Cassens were brought in as CEO and COO, respectively, while Aaron Gaydosik and Brad Grandstaff were retained as CFO and VP of Operations. Scott and Brian subsequently added Randy Ferrell to the team as VP of Production and Jon Slagle as a Senior Reservoir Engineer. The revitalized team added significant New Mexico expertise while also reducing the overall size of the team in response to the new market environment.

Management set out to change the script by shifting the company mindset from growth model to value model – maximizing returns and minimizing paybacks on every well drilled. The operations team implemented a new, modern frac design, which accelerated paybacks and showcased the quality of the rock. After taking over operations, Management drilled and completed 16 gross wells which averaged >100% IRR and a ~16-month payback.

In addition to overhauling Chisholm’s drilling program, Management focused on lowering LOE and G&A spend. The team left no stone unturned, adjusting artificial lift type, running electricity to ESPs, and chemically treating H₂S, leading to a 15% reduction in LOE and 86% reduction in flaring. These initiatives were successfully implemented with a >20% reduction in run-rate G&A.

Chisholm ultimately sold to Earthstone Energy in February 2022 (announced December 2021, closed February 2022) for \$604 million, representing a 4.5x value uplift from when the new management team took over operations.

Ameredev II Operations Review

In September 2022, EnCap engaged Ridge Runner management to conduct a deep-dive review of Ameredev II’s (Fund X) historical operations and go-forward development plans on a consulting basis. Ridge Runner was granted access to Ameredev II’s technical and operational data in order to review geology, well designs, completion designs, well spacing, and processes and procedures. Ridge Runner quickly identified numerous areas of possible improvement, including Ameredev II’s corporate structure and staffing regime, high proppant loading and water intensity, well design in the vertical section, and well spacing. EnCap utilized this information to inform go-forward drilling plans in order to maximize returns and reduce downtime due to offset frac hits.

Ridge Runner’s review of Ameredev II allowed EnCap to see Management’s technical and commercial skills first-hand, giving us additional confidence in the team’s skillset.

Strategy

Ridge Runner will pursue the identification, acquisition, and development of liquids-rich resource plays throughout the Lower 48. Focusing on risk-adjusted returns, while being mindful of current market dynamics, Management will utilize its deep technical expertise across the value chain to identify opportunities that possess asymmetric risk/reward opportunities. Mr. Germann, Mr. Cassens, Mr. Gaydosik, Mr. Grandstaff, Mr. Ferrell, Mr. Slagle, and Mr. Canon each represent highly capable, technical talent with backgrounds of evaluating, aggregating, and developing unconventional resource plays. The Ridge Runner team has experience primarily in the Delaware Basin where they will focus on a multi-prong investment strategy.

Ridge Runner will initially target three areas of investment as follows:

Deal Considerations

Positives

- Management team has previous experience managing its own private company
- EnCap had a chance to work directly with this team on an Ameredev II consulting project, giving us additional comfort with the team as a whole.
- Experienced and energetic senior management members that are highly regarded by some of the industry's most successful entrepreneurs and executives
- Multi-disciplinary team with strong technical expertise that has the potential to be long-term partners with EnCap
- Management has the ability to attract top industry talent
- Similar mindset with regards to risk management and capital allocation
- EnCap will control the board and approve all major decisions

Negatives

- Although this management team successfully served as a consultant for EnCap previously, EnCap has not backed this team in the past
- Should Management ultimately propose entry into the Woodford play, and EnCap approves of the opportunity, the play is geologically complex and in the early stages of horizontal delineation, thus identifying sweet spots through extensive technical analysis is critical for success
- Acquiring large scale assets with a PDP component and significant drilling inventory will be difficult and represents a risk factor should Ridge Runner pursue this strategy

Exhibit A

Management's Operating Track Record

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- Management team has a long track record of creating and successfully exiting overlapping project-level drilling programs

